Richer Than What?

The denominator determines the return.

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01

The central proposition

A return is a ratio.

And the denominator is a choice.

“I made money” is an incomplete sentence

- A ₹10 crore portfolio may represent enormous wealth in rupees
- Modest wealth in dollars
- A very different amount of wealth in ounces of gold
- And surprisingly little additional purchasing power over the things a family actually consumes

₹1 crore → ₹10 crore

Did I make 10× my money?

Then ask…

- What if, over the same period, the rupee lost 70% of its purchasing power?
- What if the dollar went from ₹45 to ₹95?
- What if gold went from ₹7,000 to ₹1.5 lakh per 10 grams?
- What if the cost of the lifestyle you actually care about rose 6% a year?

It depends.

And that is the entire lecture.

QUESTION 1

"If your wealth rises from ₹1 crore to ₹10 crore, but the price of everything you care about rises from ₹1 crore to ₹12 crore, have you become richer?"

A return always involves two things

- The asset is the numerator
- The numeraire is the denominator
- Change either one, and the return changes — even if nothing about the asset did

02

What is a numeraire?

Suppose, over one year

- Apple rises 20%
- Gold rises 15%
- The rupee falls 8% against the dollar

What happened to Apple? There isn't one answer.

You can measure Apple five ways

MEASURE	QUESTION BEING ASKED
Apple in INR	How many rupees did it earn?
Apple in USD	How many dollars did it earn?
Apple in gold	How much of a monetary commodity did it earn?
Apple relative to consumer prices	How much more could it buy?
Apple relative to wages	How much labour could it command?

QUESTION 2

"If the price of every asset and every wage in an economy doubles overnight, has anybody become richer?"

Nominal, relative, real

Nominal wealth

How many rupees or dollars you have.

Relative wealth

How many units of another asset you can command.

Real wealth

How many goods and services you can command.

03

The rupee, examined

Why do we measure wealth in rupees?

- We earn in rupees
- We spend in rupees
- Our bank accounts are denominated in rupees
- Taxes are in rupees, and Indian equities are quoted in rupees

03 · THE RUPEE, EXAMINED

₹100 ≠ ₹100

Same nominal denomination. Not the same economic value, twenty years apart.

The rupee keeps moving

MEASURE	THEN	NOW
CPI inflation (older series)	~10% · 2009–10 & 2010–11	—
USD/INR (annual average)	₹45.3 · 2006	₹78.6 · 2022
USD/INR (today)	—	~₹95

Source: Reserve Bank of India historical series; Reuters, 2026.

QUESTION 3

“If you earned 10% a year in rupees while inflation was 8% a year, would you describe yourself as a 10% investor or a 2% investor?”

Real return, defined

- Real return ≈ Nominal return − Inflation

“Real return” doesn't mean “the return in the real world.” It means the return relative to a particular price index. That distinction matters.

04

One portfolio, four realities

Imagine, on 3 September 2006…

- You invest ₹10 lakh in a diversified Indian equity portfolio
- You hold it for twenty years, to today
- We'll use the Nifty 50 Total Return Index as a proxy — real, published, and free of the fiction that fees, taxes and turnover don't exist

Four numeraires, four questions

NUMERAIRE	QUESTION BEING ASKED
INR	How much money did my portfolio make?
USD	How much globally transferable wealth did I make?
Gold	How many grams of monetary commodity did I accumulate?
Consumption basket	How much more stuff can I actually buy?

1. Measured in INR

- “₹10 lakh became ₹X crore” — the number on your demat account
- It is useful. It answers: how many rupees do I have?
- It does not answer: how valuable are those rupees?

2. Measured in USD

- Now divide the portfolio value by USD/INR
- The rupee depreciated across these twenty years — so the dollar number grows more slowly than the rupee number
- A currency return is not necessarily an investment return

QUESTION 4

"Two investors each turn $100,000 into $300,000 — one in India, one in the US. Are they equally richer?"

An exchange rate is itself a price

- The Indian investor's \$100,000 became \$300,000 partly because Indian assets rose — and partly because the rupee depreciated
- The rupee is the price of one currency in terms of another
- That price moved too, and it is part of the return, not separate from it

3. Measured in gold

YEAR	₹ PER 10G, MUMBAI
2005–06	₹6,900
2011–12	₹25,722
2020–21	₹48,723
2024–25	₹75,842
September 2026	~₹1.57 lakh

Source: RBI historical series; BankBazaar, September 2026.

QUESTION 5

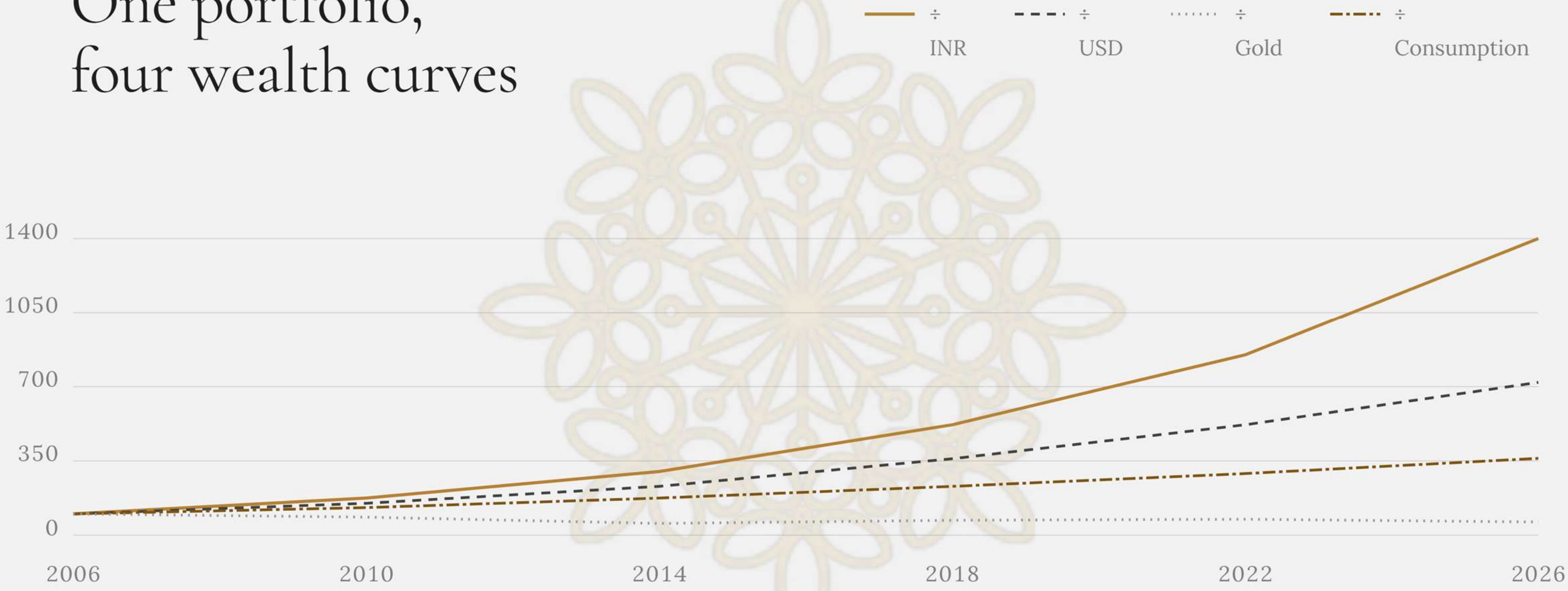
“If your equity portfolio doubled but gold tripled, did you actually get richer relative to gold?”

— the answer is no

“Gold went up” and “the rupee went down”

- These are two descriptions of the same relative-price phenomenon
- Gold's price in rupees rising, and the rupee's value in gold falling, are the same statement said twice
- The denominator matters enormously

One portfolio, four wealth curves



Illustrative index built from the RBI/NSE data cited here. There is no single “wealth curve” — there are four.

05

The denominator of your life

Suppose your portfolio increased 15×

- Wonderful. Now let's ask what happened to your life
- Construct a middle-class consumption basket — the things a household actually spends on
- Weight each item by the household's spending, and build an index

A middle-class consumption basket

Housing
School fees
Healthcare
Domestic help

Food
Electricity
Transport
Holidays

Smartphones & computers
Dining out
Insurance
Clothing

QUESTION 6

"If your portfolio increased 12× but your family's consumption basket increased 10×, would you call yourself enormously richer?"

Now sharpen it

- What if your portfolio increased 12× — but the cost of the house you wanted increased 20×?
- You are richer, according to the CPI
- You are poorer, relative to the house

Both statements can be simultaneously true.

06

The big distinction

Three ways to be richer

Nominal wealth

How much money do I have? — ₹10 crore.

Relative wealth

How much of something else can I buy? — grams of gold, dollars, square feet of Mumbai real estate.

Purchasing power

How much consumption can I command? — the concept closest to living standards.

There is no universally correct denominator

A retiree cares about medical costs
A student cares about tuition
A global investor cares about USD

An Indian household cares about housing
A central bank cares about CPI

A sovereign wealth fund cares about a global basket of currencies and assets
A gold bug cares about ounces of gold

07
Eleven episodes, one question

2008 — the global financial crisis

Indian equities collapsed in INR terms.

Did Indian equities become cheaper — or did the world suddenly become more valuable relative to Indian equities?

2016 — demonetisation

₹10 lakh in cash, in a bank, in equity, in gold, and in real estate are economically different forms of wealth.

The question wasn't how much wealth you had, but in what form your wealth existed.

2016–17 — GST and formalisation

The price of something and the cost of obtaining it are not always the same.
Formalisation changes transaction costs and tax incidence.

Did formalisation change prices — or the cost of accessing them?

2020 — COVID and the recovery

The equity market collapsed. Monetary and fiscal support arrived. Asset prices then exploded.

Did the value of businesses rise — or did the value of the unit we measure them in fall?

2008–09 — the rupee depreciates

An investor looking only in INR saw one story. A foreign investor looking in USD saw another. Same stocks, different denominator.

Whose return is the real return?

2013 — the taper tantrum

The rupee depreciated sharply as global capital repriced emerging markets.

Who benefited — the investor holding Indian equities, gold, dollars, or foreign assets?

2022 — the dollar surges

The dollar strengthened sharply against many currencies. A US investor felt insulated; a non-US holder of dollar assets earned an extra currency return.

Did US assets outperform — or did the denominator simply become more valuable?

2021–22 — the US inflation shock

The US experienced its largest inflation episode in decades. A dollar investor who thought “I own dollars, therefore I own purchasing power” was reminded that fiat currency is itself an asset with a changing real value.

Is the dollar a safe denominator — or just a familiar one?

2011–13 — gold boom, rupee stress

Gold prices surged as India's large current-account deficit pressured the rupee.

Was the investor becoming richer — or was the rupee becoming less valuable?
Both, simultaneously.

2022–24 — Indian equities vs gold

Gold posted enormous gains while Indian equities also generated substantial returns. Depending on the starting date, an investor can tell very different stories about who “won.”

Which asset won — and won against what?

2024–26 — gold's renewed surge

Gold has kept rising sharply in INR terms, while the rupee–dollar rate keeps moving too — the RBI continues to intervene heavily in the FX market.

If someone tells you their portfolio returned 15% — ask: 15%, versus what?

08

Provocations to take further

On currencies

- Is cash an investment?
- If your bank account pays 7% but inflation is 8%, are you earning money or paying for liquidity?
- Is a rupee really the same unit today as it was twenty years ago?
- If the rupee depreciates 5% and your Indian equity rises 5%, have you made money in USD terms?

On inflation

- Whose inflation rate matters — the RBI's, or yours?
- If CPI inflation is 5% but your personal inflation is 9%, what is your real return?
- Can an asset deliver a positive real return for you while delivering a negative real return for somebody else?

On gold

- Is gold expensive — or is the rupee cheap?
- If gold rises 20%, which of these has happened: gold became more valuable, the rupee became less valuable, or both?

On equities

- Can an equity portfolio generate a positive return while making you poorer? Yes — if the denominator rises faster.
- Can an asset fall in price while making you richer? Yes — if the denominator falls even faster.

On living standards

- If your salary doubles but the price of the house you want triples, did you get a raise?
- If your portfolio beats CPI but loses to Mumbai residential property, have you really “preserved wealth” if your objective is that house?
- Is inflation a single number — or a personal experience?

09

The hierarchy of numeraires

Five levels, each a different question

LEVEL	NUMERAIRE	THE QUESTION IT ANSWERS
1 · Currency	₹ / $ / €	How many units of money?
2 · Financial assets	Stocks, bonds, gold, real estate	How many units of another store of wealth?
3 · Economic output	GDP, wages, productivity	How much of the economy's output?
4 · Consumption	Food, housing, healthcare, education, leisure	How much can I actually consume?
5 · Human outcomes	Time, freedom, security, health, optionality	What does my wealth allow me to do?

“What is the denominator for financial independence?”

₹50 crore is not the objective. Neither is $10 million. Neither is 100 kg of gold.

The objective is whatever those things allow you to command.

10

Richer than what?

What is the correct denominator?

- Inflation, USD, gold, CPI, wages, real estate, GDP, consumption — let them all be offered
- There isn't one
- The appropriate denominator depends on the question

The denominator follows the question

IF YOU ASK…	…THE DENOMINATOR IS
Did my investment make money?	INR may be perfectly appropriate
Did I preserve my international purchasing power?	USD might be appropriate
Did I preserve my wealth against a monetary asset?	Gold might be appropriate
Can my family afford more?	A consumption basket is better
Can I afford the house I wanted?	House prices are the denominator

Five questions to leave with

- Richer than what?
- Over what period?
- For whom?
- Measured in what unit?
- Able to buy what?

“Making money” is meaningless until you specify money in terms of what.

Nominal wealth tells you how many units of currency you possess. Relative wealth tells you what those units can buy relative to another asset. Purchasing power tells you what those units can actually command in the world.

We don't ultimately want money. We want what money can buy.